



Circular 08 of 2023

16 March 2023

TO: Zimbabwe Association of Pension Funds (ZAPF)
Pension Fund Administrators
Stand- Alone Pension Funds

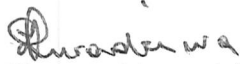
ANNUAL PUBLICATION OF FINANCIAL STATEMENTS

1. This circular is issued pursuant to sections 31 and 32 of the Pension and Provident Funds Act [Chapter 24:32], which require pension funds and life insurers carrying on fund administration business to publish annual financial statements.
2. The financial statements to be published shall, at minimum, include the following reports: -
 - 2.1 Statement of Financial Position
 - 2.2 Statement of Comprehensive Income
 - 2.3 Statement of Cash Flows
 - 2.4 Membership Statistics and
 - 2.5 Notes to the Financial Statements
 - 2.6 Board of Funds' responsibility statement including names of the members of the Board.
3. At a minimum, the notes to the financial statements should include the following:
 - 3.1 Description of the fund including contribution rates and any changes to the fund rules.
 - 3.2 The fund's investment policy.
 - 3.3 List of sponsoring employers including the contribution arrears, if any, per sponsoring employers.

- 3.4 Details of any single investments exceeding 5% of the net assets available for benefits.
 - 3.5 Schedule of foreign currency income, expenses, assets and liabilities.
 - 3.6 Information relating to any material transactions and investments in the sponsoring employer or any related parties.
 - 3.7 Compliance report showing the level of compliance with regulatory requirements and any penalties and fines issued.
 - 3.8 Bonuses and pension increases awarded during the year and final bonus and pension increases recommended by the actuary at the end of the year.
 - 3.9 Split of Statement of Comprehensive Income and Statement of Financial Position into different sub-accounts.
- 4. Pursuant to the above, Stand-Alone and Self-Administered Pension Funds are to publish their financial statements in an appropriate media.
 - 5. Pension funds with single and/or related sponsoring employers, whose membership profile is predominantly active, that is, at least 70% being active, may publish their accounts through the employers' bulletin board, for example, company notice board, business reports and e-mail, otherwise publication should be in a newspaper of national circulation. This is subject to the fund making provision for the inactive members to have access to the financial statements.
 - 6. On the other hand, life insurers administering insured funds shall publish Pension Funds Return in a newspaper of national circulation. The return should include all disclosures as set in section (2) and (3) above and list of all Insured Pension Funds showing movement in fund assets during the year, including assets attributable to the fund at the end of the year.
 - 7. Notwithstanding the above, the Commissioner has the right to exempt other funds, which do not meet the above stated criteria from publishing in the newspaper, provided they demonstrate how they will make the financial statements accessible to their members.

8. Evidence of circulation of the financial statements should be submitted to the Commission.
9. The full set of financial statements, including other disclosures that are not part of section (2) and (3) above, should be made available to members upon request.
10. All enquiries and clarifications should be directed to pensions@ipec.co.zw.
11. Please be guided accordingly.

Yours sincerely,



Grace Muradzikwa

COMMISSIONER OF INSURANCE, PENSION AND PROVIDENT FUNDS